



HDFC Bank (HDFCB) reported its Q4FY22 performance which was below our estimates on the profitability front mainly due to lower margin and muted treasury gains (INR 0.40 Bn vs INR 6.55 Bn), though asset quality improved during the quarter, with GNPA's sequentially down by 9 bps at 1.17%.

- NII came in at INR 188.73 Bn, +2.3% QoQ / +10.2% YoY and 5% below our est.
- Net Income came in at INR 265.10 Bn, -0.4% QoQ / +7.3% YoY and 7% below our est.
- PPOP came in at INR 163.57 Bn, -2.5% QoQ / +5.3% YoY and 10% below our est.
- Provisions came in at INR 33.12 Bn, 10.6% QoQ / -29.4% YoY and 19% below our est.
- PAT came in at INR 100.55 Bn, -2.8% QoQ / +22.8% YoY and 4% below our est.
- EPS stood at INR 18.1 vs INR 18.7 / INR 14.9 in Q3FY22 / Q4FY21 respectively.

Valuation & Outlook

HDFC Bank's Q4 performance was lower than our estimates on the profitability front mainly due to lower margin and muted treasury gains. However, strong recovery in retail loans, along with robust trends in corporate loans, resulted overall healthy loan growth of 8.6% QoQ in Q4FY22. Asset quality ratios also improved during the quarter, with the restructured book moderated to ~1.14% of loans. Furthermore, the bank continues to invest in physical / digital footprint, positioning itself for capitalizing on future growth opportunities. We believe that the bank's strong balance sheet, better liability franchise, and higher capital adequacy would allow the bank to deliver strong sustainable performance and capitalize on emerging opportunities. Meanwhile, we strongly believed that the proposed merger of HDFC and HDFC Bank will be value-accretive for all stakeholders, mainly driven by lower cost of funds for the mortgage business and cross-sell opportunities. At CMP the stock trades at 3x its FY23E ABV and 2.6x its FY24E ABV. **We have maintained a 'BUY' rating on HDFC Bank with a price target of Rs 1782, valuing the stock at 3.2x FY24E P/ABV**

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	649	720	855	1,020
Net profit	311	370	445	537
Networth	2,037	2,401	2,751	3,177
Adj BVPS	361	425	485	557
EPS (Rs)	56	67	80	97
P/ABV (x)	4	3	3	3
P/E (x)	26	22	18	15
RoA (%)	2	2	2	2
RoE (%)	17	17	17	18

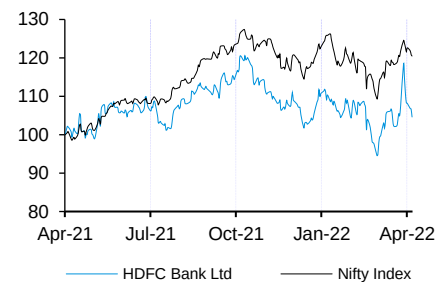
Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,782	22

Market data

Current price	Rs	1,465
Market Cap (Rs.Bn)	(Rs Bn)	8,124
Market Cap (US\$ Mn)	(US\$ Mn)	1,06,703
Face Value	Rs	1
52 Weeks High/Low	Rs	1725 / 1292
Average Daily Volume	('000)	14,182
BSE Code		500180
Bloomberg		HDFCB.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Jan-21
Promoters	25.78	25.80
Public	74.22	74.2
Total	100	100

Source: Bloomberg

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Other Financial Highlights

- **Asset Quality:** Bank's asset quality improved during the quarter, with GNPA's sequentially down by 9 bps at 1.17% and NNPA's down by 5 bps to 0.32%. Annualized slippage ratio for the current quarter stood at ~1.3% (~Rs 40 Bn) in Q4FY22 vs 1.6% QoQ. Total annual credit cost for the quarter stood at 96 bps (which includes an impact of the contingent provision of ~ 30 bps) vs 94 bps QoQ/ 164 bps YoY. Bank made additional contingent provisions of INR 10 Bn taking the total contingent buffer to INR 96.85 Bn. With strong underwriting standards coupled with a top-quality customer pool and adequate provisioning buffers, we believe the bank is relatively in a better position when compared to peers in terms of NPA additions and credit costs.
- **Robust loan growth:** HDFCB has shown credit growth of 20.8% YoY/8.6% QoQ in Q4FY22. Out of which, Retail loans grew by 15.2% YoY, commercial and rural banking loans grew by 30.4% YoY and corporate and other wholesale loans grew by 17.4% YoY. Overseas advances constituted 3.1% of total advances. With continues to invest in physical / digital footprint, strong liability franchise and higher capital adequacy, we believe that the bank's loan growth will be higher than system average for the next few years.
- We believed that the proposed merger of HDFC and HDFC Bank will be value-accretive for all stakeholders, with HDFC LTD will benefit from the lower cost of funds and large distribution franchise of the bank, while HDFC Bank will benefit from HDFC's experience in real estate space and low & efficient processing of loans (HDFC's cost to income ratio stood at 8% in FY21). 70% customers of HDFC and its subsidiaries do not bank with HDFC Bank. Hence, the merge will give opportunity to the bank to cross sell the entire banking products to this large pool of customers, which will enhance overall business of combine entity. Transaction completion is subject to shareholders and regulatory approvals. Merger is expected to be completed in 15-18 months.
- **Strong liabilities franchise:** Deposits grew by 16.8% YoY/7.8% QoQ in Q4FY22 led by CASA growth of 22% YoY/10.3% QoQ taking CASA ratio at 48.2% (Vs 46.1% YoY). Bank has opened ~2.4 mn new liability relationships in Q4 and 8.7 Mn in FY22. The bank is well capitalised, with CAR stood at 19.5% (vs 18.9% YoY), of which Tier I capital was 18.4% (vs 17.6% YoY).
- **Operating Expenses:** Opex stood at INR 101.53 Bn, is up by 10.6% YoY and 3.1% QoQ. The YoY increase in opex is driven by 17% YoY increase in employee expenses & increase of 7.8% YoY in other expenses. Consequently, Bank's cost to income ratio up by 115 bps YoY/130 bps QoQ to 38.3%, backed by lower net income (NII + other income) growth of 7.3% vs opex growth of 10.6% in Q4FY22. We believe this ratio is most probably sustainable at the current level or expect to increase going ahead with higher technology spends, increased footprint and retail asset pickup.
- **Reported NIM** stood at 4% vs 4.1% QoQ/ 4.2% YoY, adversely impacted by the change in loan mix towards corporate portfolio specifically towards higher rated segments which generate lower yields. However, NIM adjusted with credit cost stood at 3.5% in Q4FY22 vs 3.1% YoY, indicating better pricing of the risk. NII to credit RWA also improved by ~20 bps to 7% compared to the pre-pandemic level.

Highlights of the Conference Call

Asset Quality

- The bank's GNPA's stood at 1.17% in Q4FY22; out of which, 19 bps are standard included in NPA as one of the other facilities of the borrower is NPA.
- Annualized slippage ratio for the current quarter stood at ~1.3% (~Rs 40 Bn) in Q4FY22 vs 1.6% QoQ.
- Recoveries & Upgrades stood at Rs 21 Bn (~18 bps), while write offs stood at Rs 17 Bn (~16 bps) in Q4FY22
- Total annual credit cost for the quarter stood at 96 bps (which includes an impact of the contingent provision of ~ 30 bps) vs 94 bps QoQ/ 164 bps YoY
- Out of core credit cost ratios, the specific loan loss ratio stood at ~52 bps for Q4FY22, vs 57 bps QoQ/ 110 bps YoY.
- Recoveries which are recorded as miscellaneous income amounts to ~26 bps of gross advances for Q4FY22 vs 25 bps QoQ/YoY.
- Bank made additional contingent provisions of INR 10 Bn taking the total contingent buffer to INR 96.85 Bn. Total provisions (comprising specific, floating, contingent and general provisions) were 182% of the gross non-performing loans as on March 31, 2022

Restructuring

- Restructuring under the RBI's resolution framework stood at ~ 114 bps (Rs 157 Bn) at a borrower level.
- Out of the total restructured book, ~37% was pertains to customers who have chosen to restructure only one of their facilities, while in the remaining 63%, 41% is secured and 59% is unsecured.
- Out of the unsecured portion, 84% have a good CIBIL Score or they're not delinquent at the time of restructuring.
- According to management, the maximum potential impact of restructuring in GNPA ratio will be ~10-20 bps in any given quarter.

Operating parameters

- NIM stood at 4% vs 4.1% QoQ/ 4.2% YoY. The margin was adversely impacted by the change in loan mix towards corporate portfolio specifically towards higher rated segments which generate lower yields. However, NIM adjusted with credit cost stood at 3.5% in Q4FY22 vs 3.1% YoY, indicating better pricing of the risk. NII to credit RWA also improved by ~20 bps to 7% compared to the pre-pandemic level.
- Other Income: retail constitutes ~94% of fees. Fees on retail franchises delivered well in the quarter on the back of healthy assets growth, while fees on payment products remain subdued due to lower risk related fees, over limit fees, late payment fees, etc. reflecting a cautious approach towards card based lending as well as customer preferences.
- Cost to income ratio for the quarter stood at 38% vs 37% QoQ/ 37.2% YoY. The ratio will likely remain under pressure in the near term, with stepped up investments in the technology and retail segment continuing to pick up as the spend levels will likely to increase given the volumes sales, promotional activities and discretionary spending.

Investment in human capital, branch expansion and technology

- The bank has added 7167 employees in Q4 and 21486 employees in FY22
- 563 branches were added in Q4, while 734 branches were added in FY22 and another 150 branches are in the pipeline.
- The bank continued its investment in technology to provide a seamless customer experience across digital touchpoints. During Q4, Bank has received total of 234 million visits to its websites averaging 29 million unique customers per month.

Other important highlights

- Bank has opened ~2.4 mn new liability relationships in Q4 and 8.7 Mn in FY22.
- As of Mar 2022, the bank has total 16.5 mn cards; out of which, 8.2 lakh cards were issued in Q4FY22, while 21.8 lakh cards were issued since the embargo being lifted in August 2021. Bank has ~3 million acceptance points as of Q4FY22, which grew by 37% YoY.
- Bank's market share in advances increased from 10% (FY21) to 11% in FY22, with incremental share of credit growth in the economy at 24%. In deposit mobilization, Bank's market share improved from 8.8% (FY21) to 9.5% in FY22.

HDB Financial Services

- Total advantages stood at Rs 613.26 Bn; out of which 76% were secured.
- Disbursements are picked up in Q4, growing 11% QoQ/ 7% YoY.
- Stage 3 stood at 4.99% vs 6.05% QoQ. The ratio was adversely impacted by 1.27% on account of new RBI guidelines issued in Nov 21. 80% of the stage 3 book is secured carrying PCR of 44%, while the remaining 20% unsecured book has PCR of 87% as on Mar 2022.
- As on March 31, CAR stood at 20.2% with Tier-I at 15.2% and LCR at 102%.

HDFC Securities

- The company has a wide network presence of 216 branches across 147 cities. There has been a significant increase in its overall client base to over 3.8 Mn customers (up by 40% YoY) as on Mar 2022.
- The company's revenue grew by 16% YoY to Rs 5.10 Bn. 86% of its revenue come from transaction done by customers on its digital properties.

Quarterly Financials

Profit & Loss Account							
Rs Bn	Q4FY22	YOY	QOQ	Q3FY22	Q2FY22	Q1FY22	Q4FY21
Interest Earned	334	9.9%	3.0%	325	314	305	304
Interest Expended	146	9.6%	3.9%	140	137	135	133
NII	189	10.2%	2.3%	184	177	170	171
Other Income	76	0.6%	-6.7%	82	74	63	76
Net Income	265	7.3%	-0.4%	266	251	233	247
Operating expenses	102	10.6%	3.1%	99	93	82	92
PPoP	164	5.3%	-2.5%	168	158	151	155
Provisions	33	-29.4%	10.6%	30	39	48	47
Profit Before Tax	130	20.3%	-5.3%	138	119	103	108
Tax	30	12.7%	-13.1%	34	30	26	27
Net Profit	101	22.8%	-2.8%	103	88	77	82
Balance Sheet							
Net worth	2401	17.9%	4.6%	2296	2187	2125	2037
Deposits	15592	16.8%	7.8%	14459	14063	13458	13351
Borrowings	1848	36.4%	-2.9%	1904	1498	1313	1355
Other liabilities	844	16.3%	16.7%	723	700	643	726
Total liabilities	20685	18.4%	6.7%	19383	18448	17539	17469
Cash & Balances	1523	27.5%	-9.6%	1684	1693	1200	1195
Investments	4555	2.7%	7.8%	4226	4163	4361	4437
Advances	13688	20.8%	8.6%	12609	11988	11477	11328
Fixed Assets	61	23.9%	11.0%	55	52	50	49
Other Assets	858	86.8%	6.0%	809	552	452	459
Total Assets	20685	18.4%	6.7%	19383	18448	17539	17469
Important ratios (%)							
Gross NPAs	1.2	-15bps	-9bps	1.3	1.4	1.5	1.3
Net NPAs	0.3	-8bps	-5bps	0.4	0.4	0.5	0.4
PCR	72.7	288bps	190bps	70.8	70.9	67.9	69.8
Cost to income ratio	38.3	115bps	130bps	37.0	37.0	35.0	37.2
CASA	48.2	205bps	105bps	47.1	46.8	45.5	46.1
CAR	18.9	10bps	-60bps	19.5	20	19.1	18.8

Source: Dalal & Broacha Research, Company

Financials

Profit & Loss Account				
Rs in Bn	FY21	FY22	FY23E	FY24E
Interest Earned	1,209	1,278	1,594	1,929
Interest expended	560	557	738	909
NII	649	720	855	1,020
Other Income	252	295	343	401
Net Income	901	1,015	1,198	1,421
Operating Exp	327	374	447	530
PPOP	574	641	751	891
Provisions	157	151	161	178
PBT	417	490	590	713
Tax	105	121	145	175
PAT	311	370	445	537

Balance Sheet				
Rs in Bn	FY21	FY22	FY23E	FY24E
CAPITAL & LIABILITIES				
Capital	6	6	6	6
Reserves & Surplus	2,032	2,395	2,746	3,171
Deposits	13,351	15,592	18,319	21,682
Borrowings	1,355	1,848	1,902	2,083
Other Liabilities	726	844	876	928
TOTAL	17,469	20,685	23,849	27,869
ASSETS				
Cash & Balances	1,195	1,523	1,453	1,392
Investments	4,437	4,555	5,388	6,268
Advances	11,328	13,688	16,251	19,401
Fixed Assets	49	61	66	72
Other Assets	459	858	692	737
TOTAL	17,469	20,685	23,849	27,869

Ratios (%)	FY21	FY22	FY23E	FY24E
Growth				
NII	15.5	11.0	18.7	19.3
PPOP	17.7	11.7	17.2	18.6
Net profit	18.5	18.8	20.3	20.8
Deposits	16.3	16.8	17.5	18.4
Advances	14.0	20.8	18.7	19.4
Returns				
ROA	1.9	1.9	2.0	2.1
ROE	16.6	16.7	17.3	18.1
Efficiency				
C/I Ratio	36.3	36.9	37.3	37.3
CASA	46.1	48.2	48.6	48.5

Ratios (%)	FY21	FY22	FY23E	FY24E
Per Share				
BV (Rs)	370	433	496	573
ABV (Rs)	361	425	485	557
EPS (Rs)	56	67	80	97
Valuation				
P/BV (x)	4.0	3.4	3.0	2.6
P/ABV (x)	4.1	3.4	3.0	2.6
P/EPS (x)	26.0	22.0	18.3	15.1
Asset quality				
GNPA	1.3	1.2	1.3	1.4
NNPA	0.4	0.3	0.4	0.5
PCR	69.8	72.7	69.3	68.2

Source: Dalal & Broacha Research, Company

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